

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

FRANCIS SHEKA KANU, *Complainant*

v.

EJIKE DICKSON EZE DBA EJIKE INTERNATIONAL TRADE LIMITED; SEALINES INTERNATIONAL; SEAMATES INTERNATIONAL, INC.; AND MAERSK, *Respondents*.

DOCKET NO. 25-05

Served: September 4, 2025

ORDER OF: Richard AMBROW, *Administrative Law Judge*.

ORDER GRANTING IN PART AND DENYING IN PART MOTIONS TO DISMISS¹

On March 10, 2025, Complainant filed his Complaint naming Ejike Dickson Eze d/b/a Ejike International Trade Limited (“Eze”), SeaLines International and SeaMates International, Inc. (“SeaLines”) and Maersk as Respondents.

Maersk and SeaLines filed Motions to Dismiss on April 10, 2025, and April 11, 2025, respectively. Complainant did not respond to the Motions to Dismiss. As more fully discussed, the Motions to Dismiss are **GRANTED IN PART and DENIED IN PART**.

Complainant also filed a Motion for Leave to Amend the Complaint. I will not rule on the Motion for Leave to Amend at this time.

As discussed further below, the parties are to provide a joint status report regarding the status of the re-export of Complainant’s container from Congo to Sierra Leone, as well as other matters, no later than **September 22, 2025**.

I. Background

On March 10, 2025, Complainant filed the Complaint.

¹ If an administrative law judge has granted a motion for dismissal of the proceeding in whole or in part, any party desiring to appeal must file such appeal no later than twenty-two (22) days after the service of the ruling on the motion in question. In the absence of an appeal, the order of dismissal of a proceeding in whole or in part shall become the order of the Commission thirty (30) days after the date of service of such order unless within such-30 day period the Commission decides to review such order on its own motion. (46 C.F.R. § 502.227(b-d)).

In general, Complainant alleges that on June 5, 2021, he entered into a contract with Respondent Eze. The contract provided that Complainant would pay \$4,134 to have a container shipped from Charlotte, North Carolina, to Queen Elizabeth Port in Sierra Leone, with an estimated arrival date of August 25, 2021. (Complaint, ¶¶ IV.A-IV.C). The container was booked for transportation by Respondent Maersk through its agent Respondent SeaLines International and SeaMates International, Inc. (“SeaLines”). (Complaint, ¶¶ IV.E-IV.F). The container, however, was routed through the wrong booking number, and was shipped to Pointe Noire in Congo on November 18, 2021. (Complaint, ¶¶ IV.G-IV.H). In June 2022, an employee of SeaLines contacted Maersk, but Maersk offered no help other than providing an email address to the SeaLines employee. (Complaint, ¶ IV.L). Complainant’s agent convened a meeting between Complainant, Eze and a SeaLines’s employee, where they agreed to hire an agent in Congo to facilitate moving the container to Sierra Leone with SeaLines defraying the cost. (Complaint, ¶¶ IV.E-IV.F). Nevertheless, Eze demanded an additional \$2,000 from Complainant to have the container moved, which Complainant paid. (Complaint, ¶ IV.N). The check in the record is dated November 21, 2023, and states that it is for “demurrage on charges Port Noir[.]” (*See* Complaint, PDF page 63²).

The Complainant argues he is entitled to \$80,000 in reparations. (Complaint, ¶ VII). He cited four statutory provisions to support his claim for reparations: 46 U.S.C. §§ 41102(a) and (c), 41104(a)(4), and 41301(a) (which Complainant refers to by its former citation, § 1710(a)). (Complaint, ¶¶ IV.P.1-4).

On April 10, 2025, Respondent Maersk filed a Motion to Dismiss (the “Maersk MTD”). On April 11, 2025, SeaLines filed a Motion to Dismiss (“SeaLines MTD”) and accompanying Memorandum of Law (“SeaLines Memo”). The arguments presented in the Motions to Dismiss are similar. In sum, Maersk and SeaLines both argue that the Commission lacks jurisdiction, the claims are untimely, and the claims under §§ 41102(a) and (c), and 41104(a) lack merit. Maersk also argued that Complainant is not a direct purchaser. (*See* Maersk MTD, at 4-12; SeaLines Memo, at 3-12).

II. Legal Standard

Although the Commission's Rules of Practice and Procedure (“Commission Rules”) do not explicitly provide for motions to dismiss, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. (46 C.F.R. § 502.12). Federal Rule of Civil Procedure 12(b) permits a party to raise, by motion, lack of subject matter jurisdiction (12(b)(1)), lack of personal jurisdiction (12(b)(2)), and failure to state a claim (12(b)(6)). (FED. R. CIV. P. 12; *see also Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt No. 09-01, 2011 WL 7144008, at *11 (FMC Aug. 1, 2011)).

“In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rules of Civil Procedure 12(b)(6)

² The exhibits to the Complaint are not numbered. I refer to the exhibits by the PDF page.

and the federal case-law interpreting it.” (*Cornell v. Princess Cruise Lines, Ltd.*, Dkt. No. 13-02, 2014 WL 5316340, at *6 (FMC Aug. 28, 2014) (citation omitted)). Thus:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, [556 U.S. 662, 678] (2009).

(*Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt. No. 09-01, 2011 WL 7144008, at *12 (FMC Aug. 1, 2011)). As the Commission has explained:

Under this standard, courts focus on the language in the complaint, and whether that language sets forth sufficient factual allegations to support the plaintiff’s claim for relief. Indeed, while a complaint need not plead detailed factual allegations, the factual allegations it does include must be enough to raise a right to relief above the speculative level and to nudge . . . claims across the line from conceivable to plausible. This plausibility standard is not akin to a probability requirement, but it asks for more than a sheer possibility that a defendant has acted unlawfully. . . . Courts also construe the factual allegations in the complaint in the light most favorable to the plaintiff and must grant the plaintiff the benefit of all inferences that can be derived from the facts as alleged in the complaint. The Commission need not, however, accept any inferences drawn by Complainants that are unsupported by the facts pleaded in the complaint. Moreover, the Commission need not accept legal conclusions cast in the form of factual allegations.

(*Cornell*, 2014 WL 5316340, at *6-7 (internal quotation marks and citations omitted); *see also Maher*, 2015 WL 9426189, at *12 (“[m]ere labels and conclusions or a ‘formulaic recitation of the elements of a cause of action’ will not suffice, nor will ‘naked assertions devoid of further factual enhancement.’”)).

The Commission has clearly indicated that federal case law interpreting Rule 12(b)(6), including *Twombly* and *Iqbal*, continues to apply to motions to dismiss in Commission proceedings. (*Maher*, 2015 WL 9426189, at *6; *Cornell*, 2014 WL 5316340, at *6; *Mitsui*, 2011 WL 7144008, at *12).

III. Analysis³

1. Claim under § 41104(a)(4)

The Motions to Dismiss are **DENIED** to the extent that the Complaint alleges Maersk and SeaLines violated § 41104(a)(4) of the Shipping Act. That section provides that: “a common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not (4) for service pursuant to a tariff, engage in any unfair or unjustly discriminatory practice in the matter of – (D) loading and landing of freight; or (E) adjustment and settlement of claims.” (46 U.S.C. § 41104(a)(4)(D)&(E)).

Here, I take official notice (*see* 46 C.F.R. § 502.226) of the fact that Maersk A/S is a vessel operating common carrier. (*See* Complaint, PDF page 30 (referring to Maersk A/S as a carrier)). I take official notice that SeaLines International, Inc., is a licensed non-vessel operating common carrier (“NVOCC”).⁴ These Respondents allegedly shipped Complainant’s container to the wrong destination, failed to correct their mistake, and charged Complainant additional money in 2023 to have his container re-transported to the correct location, but still have not moved the container. (Complaint, at 7, ¶ IV.P.2). These allegations collectively point to unfair conduct in loading and landing of freight, including failing to re-transport a container that was delivered to the wrong country despite allegedly sustained and repeated requests by the Complainant.

Other decisions support this conclusion. In *Ian Mills v. Crowley Logistics, Inc.*, Dkt. No. 1995(F), 2024 WL 1855588 (ALJ Apr. 24, 2024) (notice not to review May 28, 2024), the ALJ denied a motion to dismiss a claim under § 41104(a)(4) where the complainant alleged that it intended that the respondent deliver a container, goods, and a clip-on generator overseas, but that the clip-on generator was not delivered, nor was it ever returned to the complainant. (*Id.*, 2024 WL 1855588, at *1, *6). In *William R. Adair v. Penn-Nordic Lines, Inc.*, Dkt. No. 1695(F), 1991 WL 383091 (ALJ Sept. 24, 1991), the ALJ issued an initial decision finding a Shipping Act violation due to a “litany of misconduct” by a freight forwarder and an NVOCC. (*Adair*, 1991 WL 383091, at *14). Among other failings, the freight forwarder delayed payment to the NVOCC; even after payment was made, the NVOCC neither delivered the motorcycle to its destination despite issuing an on-board bill of lading, nor returned it to the complainant; and neither respondent took responsibility for the storage fees. (*Id.*, at *8-*9). In both *Mills* and *Adair*, someone tried to ship cargo overseas, the respondent carrier failed to have the cargo delivered to the correct destination, and then did nothing to solve the problem. The allegations here are similar. Thus, I find that the Complaint alleges a plausible claim under § 41104(a)(4).

Both Maersk and SeaLines argue that the Commission does not have jurisdiction because the dispute is essentially about an alleged breach of contract. (Maersk MTD, at 4-6; SeaLines Memo, at 3-6). Both cite *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, Dkt. No. 99-24, 2000 WL 1648961 (FMC Oct. 31, 2000). In that case, complainant, an NVOCC, alleged that the

³ In considering the arguments set forth in the Motions to Dismiss, I have re-evaluated Complainant’s Complaint. Therefore, any prior analysis of Complainant’s Complaint is superseded.

⁴ *See* [Licensed NVOCCs](#).

respondent carrier violated a shipping contract. (*Id.* at *2). The Commission vacated an ALJ’s order denying a motion to dismiss, and remanded the matter to the ALJ. (*Id.*, at *15). The Commission noted that some of the claims in the complaint alleged breach of contract violations that are not properly before the Commission, whereas others, such as allegedly unfair practices, “are inherently related to Shipping Act prohibitions and are therefore appropriately brought before the Commission.” (*Id.*, at *15). Here, Complainant alleges a “litany of misconduct”; not only did Respondents allegedly ship the container to the wrong country, but Respondents failed to correct the mistake despite Complainant’s requests. This constitutes an allegation of an unfair practice of loading and landing of freight or adjustment and settlement of claims sufficient to invoke Commission jurisdiction.

Both Respondents also cite the three-year statute of limitations in 46 U.S.C. § 41301(a) as a reason to dismiss. The limitations provision in § 41301(a), however, applies only to claims for reparations. Although Complainant seeks reparations here, he also asks for non-monetary relief, such as an order “to re-export the said container to Port Elizabeth, Freetown, Sierra Leone per the initial contract[.]” (Complaint, at 9, ¶ VII). Therefore, the statute of limitations is not a basis to dismiss the claim in its entirety.

In any event, based on the facts alleged in the Complaint, I find that the statute of limitations does not apply to bar the claim for reparations. The statute of limitations does not begin to run until a claim accrues. (*Toyota de Puerto Rico Corp. v. Puerto Rico Ports Authority*, Dkt. No. 19-02, 2019 WL 4734358, *7 (ALJ July 2, 2019) (*dismissal on other grounds affirmed by FMC on July 30, 2021*). In *Toyota de Puerto Rico*, where the claimant alleged continuing violations of the Shipping Act, the ALJ denied a motion to dismiss based on the statute of limitations where at least some of the alleged Shipping Act violations fell within the three-year limitations period. (*Id.*, at *7-*8).

Here, the container was originally shipped to the wrong location in 2021. (Complaint, at 3-4, ¶¶ IV.C.-I.). This was more than three years before the Complaint was filed on March 10, 2025. (Complaint, at 3-4, ¶¶ IV.C-I). Nevertheless, the Complainant alleges that in June 2022, Maersk refused to do anything to re-export the container except to provide an email address. (Complaint, at 5, ¶ IV.L.). In addition, SeaLines allegedly agreed to help defray the costs to re-export the container, but Complainant nevertheless had to pay additional amounts, and the container still has not been moved. (Complaint, at 5-6, ¶¶ IV.M-O). In short, at least some of the alleged violations of the Shipping Act happened within three years of the filing of the Complaint. Therefore, the statute of limitations is not a basis for dismissing the Complaint.

Finally, Maersk argues that Complainant was not a direct purchaser and therefore lacks standing to sue Maersk. (Maersk MTD, at 7-9). In *In re: Vehicle Carrier Services* (“VCS”), Dkts. 16-01, 16-07, 16-10 and 16-11, 2019 WL 5419475 (FMC Oct. 21, 2019)), in a matter involving four⁵ consolidated cases, the Commission affirmed the ALJ’s initial decision granting a motion to dismiss regarding three of the four sets of complainants, stating that the Commission has “repeatedly found that a complainant cannot rely on a pass-on theory to recover reparations for

⁵ A fifth case, brought by the vehicle manufacturer, was also not dismissed by the ALJ, but settled before the Commission issued its decision. *In Re: Vehicle Carrier Services*, 2018 WL 2214682, at *38, 1 F.M.C.2d 45, 83 (ALJ May 7, 2018).

overcharges. In numerous decisions, the Commission has ruled that only the party who actually paid the carrier (or the valid assignee of the payor) can sue for reparations.” (*VCS*, 2019 WL 5419475, at *6). Although one of the four sets of complainants alleged that they paid directly for the services at issue, the other three sets of complainants alleged that artificially inflated charges were passed along to them. (*Id.*, at *3, *7). The Commission concluded that because these three sets of complainants were not direct purchasers, they lacked standing, even if they could qualify as a “shipper.” (*Id.*, at *6-*7, *12-*15). “Complainants can recover only if they introduce evidence that they actually paid the carrier or received an assignment from someone who did.” (*Id.* at *6).

In its decision in *VCS*, the Commission relied on analogous cases from the antitrust context, particularly *Illinois Brick v. Illinois*, 431 U.S. 720, 726 (1977). (*VCS*, 2019 WL 5419475, at *6). There, in an antitrust case where the consumer sued a brick manufacturer/distributor, the Supreme Court explained that the direct purchaser rule was necessary to prevent multiple judgments by various parties in the distribution chain, to avoid the complex task of apportioning damages to various parties in the distribution chain, and because indirect purchasers were less likely to sue. (*VCS*, 2019 WL 5419475, at *6 (citing *Illinois Brick*, 431 U.S. at 730-33, 737, 745-46)).

I find that the direct purchaser rule does not apply to this case. In *VCS*, as well as other cases applying the direct purchaser rule, there was no allegation, let alone a fact finding, that the complainant paid the offending charge at all. For example, in *Sanrio v. Maersk Line*, 19 S.R.R. 907-09 (ALJ 1979), the complaint alleged that the freight charges were pre-paid, presumably by a third party, and the U.S.-based complainant was ““subject to the payment of rates and charges.”” The ALJ ordered the complainant to show that it had standing to seek reparations as the complainant was required to show that it paid the freight initially or validly succeeded to the claim. (*Sanrio*, 19 S.R.R. at 909). In *Carton-Print, Inc. v. Austasia Container Express*, 20 F.M.C. 31, 34-35 (ALJ 1977), the ALJ granted a motion to dismiss because, among other reasons, the complainant neither paid the charge nor received an assignment. In contrast, however, in *Simple Forwarding, Inc. v. China United Lines, Ltd.*, Dkt. No. 2010(F), Slip. Op., at *16 (ALJ Feb. 6, 2025) (notice not to review March 11, 2025)⁶, the ALJ did not apply the direct purchaser rule where there was evidence that a claimant paid a detention charge through a third-party trucker, who was essentially an agent for the claimant.

In this case, the Complainant alleges paying to have the container shipped in the first place, and paid additional money to facilitate its re-exporting, both through Eze. (*See Complaint*, at 3, 6, ¶¶ IV.B, IV.N, *see also* PDF page 63). The concerns identified in *Illinois Brick* of multiple judgments, apportioning damages, and lack of incentive to sue are all mitigated by the allegations here. Accordingly, I find that the Complaint alleges allegations sufficient to overcome the direct purchaser rule.

For these reasons, Maersk’s MTD and SeaLines’s MTD are both **DENIED** as to Complainant’s claim under § 41104(a)(4).

⁶ Decision available at [https://www2.fmc.gov/readingroom/docs/2010\(F\)/\(29\)%202010\(F\)%20Initial%20Decision.pdf/](https://www2.fmc.gov/readingroom/docs/2010(F)/(29)%202010(F)%20Initial%20Decision.pdf/).

2. Claim under § 41102(c)

Maersk's MTD and SeaLines's MTD are both **DENIED** as to Complainant's claim under § 41102(c). That statute provides that a common carrier "may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling storing or delivering property." (46 U.S.C. § 41102(c)).

By regulation, the Commission identified the following five elements of a claim under § 41102(c):

- (a) the respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; (b) the claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis; (c) the practice or regulation relates to or is connected with receiving, handling, storing or delivering property; (d) the practice or regulation is unjust or unreasonable; and (e) the practice proximately caused the claimed loss.

(46 C.F.R. § 545.4).

Both Maersk and SeaLines argue that the Complaint alleges no facts regarding the second element of a claim under § 41102(c), which is that the claimed act or omission is occurring on a normal, customary, and continuing basis. (Maersk MTD, at 9-10; SeaLines Memo, at 9). "Commission precedent has made clear that a single shipment or isolated act or omission does not show a pattern or practice." (*Samsung Elec. Am., Inc. v. COSCO Shipping Lines Co, Ltd.*, Dkt. 24-16, 2025 WL 1126006, at *7 (ALJ Apr. 11, 2025) (notice not to review May 13, 2025)). Here, the container was originally shipped to the wrong location – this allegation of a one-time occurrence does not satisfy the second element of a violation under § 41102(c). Having said as much, the Complaint alleges that Respondents have failed for several years to take "corrective action to ensure the cargo reached its intended destination[.]" (Complaint, at 7, ¶ IV.P.1(b)). This allegation of a continuous failure to take corrective action for several years suggests that Respondents may have a similar practice in situations like the one alleged. I will allow this claim to survive as discovery may show other instances of Respondents failing to correct similar mistakes.

Both Respondents also assert that the Complaint fails to allege any facts that would constitute an unjust or unreasonable practice. (Maersk MTD, at 10; SeaLines Memo, at 8-10). I do not agree. Complainant alleges that Maersk did nothing to help re-export the container to the correct country other than provide an email address. (Complaint, at 5, ¶ IV.L). In addition, SeaLines allegedly agreed to help defray the costs to re-export the container, but Complainant nevertheless had to pay additional amounts, and the container still has not been moved. (Complaint, at 5-6, ¶¶ IV.M-O). I find, therefore, that the Complaint alleges sufficiently unjust or unreasonable conduct for purposes of ruling on a motion to dismiss.

Finally, SeaLines asserts that the Complaint does not allege that its conduct proximately caused loss. (SeaLines Memo, at 10). I do not find this assertion to be persuasive; the Complaint alleges that the container remains in the wrong country precisely because of SeaLines's alleged

failure to assist in the container's re-export, as well as its collection of an additional \$2,000 from Complainant without re-exporting the container.

For these reasons, Maersk's MTD and SeaLines's MTD are both **DENIED** as to Complainant's claim under § 41102(c).

3. Claim under § 41102(a)

I will **GRANT** Maersk's and SeaLines's MTD as to a violation of § 41102(a). The Complaint incorrectly quotes § 41102(a) as prohibiting "unfair or unreasonable practice in the handling of property." (Complaint, ¶ IV.P.3.). Section 41102(a) actually provides that a person may not, by use of false or other unjust or unfair means: "obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply."

There are no allegations in the Complaint of any attempt to obtain ocean transportation for property at lower rates or charges than would otherwise apply. Instead, the gravamen of the Complaint is that Complainant's container was shipped to the wrong country, and the Respondents have collectively failed to get it moved back to the correct destination for several years now. The alleged conduct does not give rise to a violation of § 41102(a).⁷

III. Order

For the reasons discussed, it is

HEREBY ORDERED that Maersk's MTD and SeaLines's MTD are **GRANTED IN PART** as to Complainant's claim under 46 U.S.C. § 41102(a). It is

FURTHER ORDERED that Maersk's MTD and SeaLines's MTD are **DENIED IN PART** as to Complainant's claims under 46 U.S.C. § 41104(a)(4) and 46 U.S.C. § 41102(c). It is

FURTHER ORDERED that the parties are to prepare and file a joint status report no later than **September 22, 2025**. This joint status report is to address the status of the re-export of Complainant's container from Congo to Sierra Leone; the possible resolution of this matter; and a proposed discovery schedule if a resolution is not possible.

Richard C.
Ambrow Jr -S

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Richard Ambrow
Administrative Law Judge

⁷ Complainant's Complaint also alleges a violation of 46 U.S.C. § 1710(a). This is the former citation to 46 U.S.C. § 41301, which provides a basis for a claim under the Shipping Act. Therefore, I do not address § 1710 separately.